March 25 Purchased from Jemini & Sons, Chennai
2 typewriters @ ₹ 7,750 for office use

Solution

In the books of Shanthi Furniture Mart
Purchases book / Purchases journal

Date	Particulars	Invoice No.	L.F.	Amount ₹ Details	Amount ₹ Total
2017	**Mohan Furniture Mart, Madurai**				
March 1	20chairs@ ₹450 each			9,000	
	2 tables@ ₹ 1,000 each			2,000	
				11,000	
	Less: Trade discount @ 10%			1,100	9,900
March 7	**Ramesh & Co., Royapettah**				
	2 stools @ ₹ 500 each			1,000	
	10 rolling chairs @ ₹ 200 each			2,000	
				3,000	
	Add: Delivery charges and cartage			150	3,150
March 21	**Kamal & Co., Karaikal**				
	10 chairs @ ₹ 750 each			7,500	
	15 steel cabinets @ ₹ 1,500 each			22,500	
				30,000	
	Less: Trade discount @ 10%			3,000	
				27,000	
	Add: Packing and delivery charges			250	27,250
	Purchases A/c Dr.				**40,300**

Tutorial note

1. Trade discount is allowed on the purchase price of goods excluding delivery charges and cartage.
2. Delivery charges and cartage are direct expenses, chargeable from purchaser, so they are added to the amount payable.
3. Purchases on 6th March, 2017 will not be recorded in the purchases book, because it is cash purchases.
4. Purchases of computers on 20th March, 2017 and typewriter purchased on March 25th will not be recorded in the purchases book, because they are assets for the firm dealing in furniture and are for office use.



Student activity

Think: Why the purchase of typewriter is not recorded? How do you record this transaction?

6.5.3 Posting from purchases book

After the transactions are recorded in the purchases book, posting them to ledger involves two steps:

Step 1: **Posting to personal accounts of creditors:** Every day, each entry is posted to the

Accountancy - Unit-06.indd 104 12/12/2021 6:15:43 PM